

such times are mentioned in this book. In the end, you will have to judge the evidence for yourself. My own level of confidence at this juncture is high, a fact that perhaps shows too much in these pages. Yet, while reticence in the field of financial forecasting is often a virtue, when evidence mounts and the time is right, it is a vice.

I am writing this book now because I believe that another financial sea change is at hand. Although the Dow Jones Industrial Average and the World Stock Index are at all-time highs as this is written, and global economic forecasts are uniformly optimistic, long term wave patterns indicate that we will soon witness a change in financial trends that will prove to be *more* important than that of the early 1980s. *The Elliott Wave Theorist* said this in 1983:

If our ongoing analysis is correct, the current environment is providing a once-in-a-generation money making opportunity. This opportunity takes on greater importance, however, because it may well precede not merely a business cycle downswing, but the biggest financial catastrophe since the founding of the Republic. In other words, we had better make our fortunes now just in case "Elliott" is right about the aftermath.

What is that aftermath? What will take the place of our long standing boom? According to my interpretation of the price patterns, the primary event will be a decline of historic proportion in stock prices, which will result in an economic depression. If an across-the-board deflation occurs, which has a substantial probability, then real estate, commodities and all bonds issued by other than impeccably solvent sources will fall in value as well.

The onset of the severe economic contraction will be signaled by a downturn in the stock market's blue chip averages. All other markets that can provide advance warning of such a change, including those for interest rates, real estate, and stock groups such as the Utilities and many secondary stocks, have *already turned down*, as have several foreign stock markets. The major U.S. stock market averages represent the last domino in the entire financial game, the only one that has yet to begin tipping, so that is currently the place to focus.

For sixteen years, since the very first issue of *The Elliott Wave Theorist* in April 1979, the front page table has included a box for strategy at "Grand Supercycle" (i.e., very large) degree labeled, "U.S. Survival." Some people have wondered why it is even there. The coming bear market will clarify the reason. While during the first